



U.S. Small Business
Administration

Boots to Business Module 5

Legal Considerations for Veteran-Owned Small Businesses

Version 5.3



U.S. Small Business
Administration



ASSOCIATION OF
WOMEN'S BUSINESS CENTERS



MISSISSIPPI STATE
UNIVERSITY

The Boots to Business entrepreneurship training program is provided through the coordinated efforts of the SBA and its valued partner network.
All SBA services are extended to the public on a nondiscriminatory basis. Reasonable arrangements for persons with disabilities will be made if requested at least two weeks in advance.

Objective

- Understand the various legal forms of a business
 - The opportunities and challenges associated with each
- Offer an overview of other legal considerations impacting veteran-owned businesses
- Additionally:
 - How is the owner paid, taxed, and what type of liability are they exposed to?
 - The importance of seeking legal counsel

Agenda

- Importance of BAIL Team
- Small Business Entities
 - Types
 - Characteristics of Each
- Other Legal Considerations
 - Contracts
 - Government Contracting
 - Intellectual Property

Assemble Your BAIL Team



Banker

- Loans
- Business Accounts
- Credit Card Services
- Customer Loans
- Payroll Services



Accountant

- Accounting
- Taxes
- Tax & Strategic Plans
- Payroll Processing
- Advice on Legal Entities



Insurance Agent

- Property
- Health
- Liability
- Workers Comp
- Directors & Officers Liability (D&O)
- Bonding



Lawyer

- Legal Entity
- Partnership Agreements
- Operating Agreements
- Employee Agreements
- Leases
- Customer & Supplier Contracts

Some businesses may also need **IT Services, Human Resources, Mentoring, Social Media** or other assistance as part of their BAIL Team

Selecting a Business Structure for Your Business

- In order to do business, you should create a legal entity that represents the firm
- There are multiple forms to choose from
- Each with different implications for:
 - Taxation
 - Your liability
 - How you get paid

<https://www.sba.gov/business-guide/launch-your-business/choose-business-structure>

Types of Business Structures

- Sole Proprietorship (DBA) or Partnership
 - Default Entities based on number of owners
- Limited Liability Company (LLC)
- Corporations
 - C-Corp
 - S-Corp
- Other Legal Entities

TALK TO YOUR ACCOUNTANT AND LAWYER!

Sole Proprietorship (DBA)

A business owned and operated by a single individual

- *You're automatically considered to be a sole proprietorship if you do business activities but don't register as any other kind of business*

ADVANTAGES:

- Easiest/least expensive to form
 - Gives owner complete control of business
- Generated income goes to owner to keep or reinvest

DISADVANTAGES:

- Business assets & liabilities not separate from personal assets & liabilities
- Raising money can be difficult
 - Banks often hesitant to lend to sole proprietorships
- Lack of continuity if the owner becomes incapacitated or passes away
- May be less attractive to prospective employees

TAX REQUIREMENTS: Business profits and losses reported on individual tax return (Form 1040) on Schedule C (Schedule E for Real Estate business)

Partnership

A business owned by two or more individuals who share the profits and liabilities of the business

- *Having a written Partnership Agreement in place is strongly recommended*

ADVANTAGES:

- The simplest structure for two or more people to own a business together
 - Easy and inexpensive to establish
- Shared financial commitment
- Potential partnership incentives for future employees

DISADVANTAGES:

- Joint and individual liability
- Shared profits and decision-making may lead to disagreements

TAX REQUIREMENTS: The partnership itself is not subject to income tax. Profits and losses "flow through" to the individual partners, who report their share of the partnership's income on their personal tax returns

Limited Liability Company (LLC)

Hybrid business structure that provides the limited liability features of a corporation and the tax efficiencies and operational flexibility of a sole proprietorship or partnership

ADVANTAGES:

- Protects you from personal liability in most instances
 - Personal assets (like your vehicle, house, and savings accounts) won't be at risk in case your LLC faces bankruptcy or lawsuits
- Lets you take advantage of the benefits of both the corporation and the sole proprietorship or partnership business structure

DISADVANTAGES:

- May require more paperwork than sole proprietorship or partnership
- Must file with your state, pay fees, & company information becomes public

TAX REQUIREMENTS: Default form of taxation for: Single Owner - same as for Sole Proprietorship. Multiple owners - same as for Partnership. LLC can also elect to be taxed as C-Corporation or S-Corp

Corporation (C-Corp)

A corporation is a legal entity that is separate from its owners

Corporations can make a profit, be taxed, and can be held legally liable

ADVANTAGES:

- Offers the strongest protection to its owners from personal liability
- Easier to raise capital through the sale of stock, which can also be a benefit in attracting employees

DISADVANTAGES:

- Must file with your state, pay fees, & company information becomes public
- Require more extensive record-keeping, operational processes, and reporting
- Double taxation

TAX REQUIREMENTS:

- Subject to corporate income tax on profits at the corporate level. Shareholders then taxed on any dividends received from the corporation at their individual tax rates

S-Corporation (S-Corp)

IRS Tax classification that Corporations and LLCs can opt for

*An S-Corporation is a **tax designation rather than an actual business entity**. Businesses cannot be incorporated as an S-Corporation. Electing S-Corp status requires filing a form with the IRS*

ADVANTAGES:

- Allows business owners the advantages of a corporation without the double taxation that comes with running a traditional C-Corp
- LLCs can save 15.3% FICA taxes on a percentage of profits

DISADVANTAGES:

- All shareholders must be individual US citizens or permanent legal residents
- Prohibited preferential distributions may discourage investors

TAX REQUIREMENTS: S-Corporations are pass-through entities for tax purposes. The corporation itself does not pay income tax. Instead, profits and losses pass through to the individual shareholders, who report them on their personal tax returns

TALK TO YOUR ACCOUNTANT!

Other Legal Entities

BENEFIT & CERTIFIED B-CORPORATION: Available in some states for corporations with a beneficial or social mission

NONPROFIT CORPORATION: Organized for charitable, educational, religious, literary, or scientific work. Nonprofits can receive tax-exempt status, meaning they don't pay state or federal income taxes

FAMILY LLC/LLP: Used by families to conduct business operations with ownership among legally-related individuals, assist in protecting assets, sharing income, and estate planning

LIMITED (LP) & LIMITED LIABILITY PARTNERSHIP (LLP): Advanced entities often used for specific types of businesses

Compare Business Structures

Business Structure	Ownership	Liability	Taxes
Sole Proprietorship	One person	Unlimited personal liability	Self-employment tax Personal tax
Partnerships	Two or more people	Unlimited personal liability unless structured as a limited partnership	Self-employment tax (except for limited partners) Personal tax
Limited Liability Company (LLC)	One or more people	Owners are not personally liable	Self-employment tax Personal tax or corporate tax
Corporation – C-Corp	One or more people	Owners are not personally liable	Corporate tax
Corporation – S-Corp	One or more people, but no more than 100, and all must be U.S. citizens	Owners are not personally liable	Personal tax
Corporation - Benefit Corporation	One or more people	Owners are not personally liable	Corporate tax
Corporation - Nonprofit	One or more people	Owners are not personally liable	Tax-exempt, but corporate profits can't be distributed

Entities In Summary

- There is no one magical entity that works for everyone. The important thing is to consider the operational, legal, and tax aspects of each structure as they apply to your unique situation!

- **Don't make this choice lightly!** It is possible to change forms if need be, although it can sometimes be expensive

TALK TO YOUR ACCOUNTANT AND LAWYER!

Registration Steps

- State Corporations Division/Secretary of State
 - Businesses that operate in multiple states
 - Registering as a Domestic or “Foreign” business
 - Multiple and/or Holding Company Consideration
- Federal Employer Identification Number (EIN) at **IRS.GOV** once organized (for taxes/withholding)
- State Registrations: some states have annual renewals, withholding and sales taxes, disability, worker’s compensation and unemployment insurance
- Local/Other Registrations: business licenses, zoning, HOA, excise taxes, fuel taxes, and other permits

Banking/Accounting/Taxes

- After registering your business and obtaining an EIN, your first stop should be at your business bank to open a business account
- Keep your personal and business matters separate to protect both your legal liability as well as protect yourself from IRS or state tax audits
 - Pay from the appropriate account by transferring money as appropriate (capital contribution/loan or distribution).
 - Any business expenses you use your personal funds (i.e. personal credit cards) to pay for should be well documented.

Other Legal Issues to Consider

- Contracts with vendor, suppliers, employees
- Government Contracting
- Intellectual property

Contracts

- You may need contracts with customers, suppliers, partners, investors, employees, etc.
- Contracts are often used for: purchase, non-compete, service, employment, ownership, partnership...
- Some contracts can be customized so that, once created, you can reuse them for other purposes (fill in the blank)
- Seek legal advice before entering into contracts
 - *An ounce of prevention is worth a pound of cure*

Government Contracting

Basic Requirements:

- Remember, eligibility for selected government contracting programs requires qualifying individual(s) to unconditionally and directly own and control at least 51% of the business
- Get proper registrations and ID numbers
- Match business' products and services to NAICS Code
- Register with SAM.gov

<https://www.sba.gov/federal-contracting>

Types of Intellectual Property

Refers to creations of the mind: inventions; literary and artistic works; symbols, images names and logos used in commerce

TM

Trademark

Indicates
the source
of goods
and/or
services



Copyright

Protects
original
works of
authorship
when fixed in
a tangible
form



Patent

Protects
new
inventions



Trade secret

Any
information
that is
valuable and
kept
confidential

Types of Intellectual Property

Trademarks

- A trademark indicates the **source of goods or services** and is how customers recognize your goods or services in the marketplace

REGISTERED
WORD
MARKS

STARBUCKS
NIKE
TARGET

REGISTERED
DESIGN
MARKS



Copyrights

- Copyright provides legal protection for **original works of authorship**, including literary, dramatic, musical, and artistic works

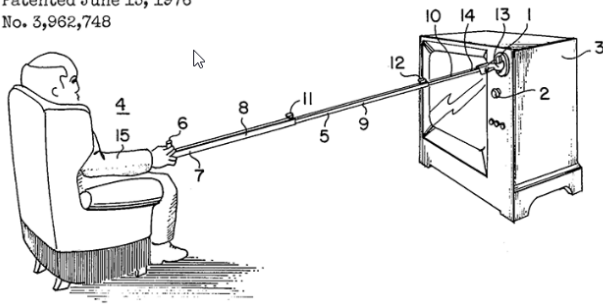


Types of Intellectual Property

Patents

- A property right granted by the U.S. government to an inventor **for a limited time and in exchange for public disclosure** of the invention
- Protects a new and useful process, machine, manufacture, composition of matter, or improvement thereof
- Confers the right to exclude others from making, using, selling, or importing the invention in the U.S.

CHRIS T. MICHAELS
TV CONTROL DEVICE
Patented June 15, 1976
No. 3,962,748



Trade Secrets

- Confidential business information like a formula, pattern, compilation, program, device, method, technique or process
- Gives businesses an **opportunity to obtain an economic advantage over competitors** who do not know or use it
- Protection of trade secrets is done through confidentiality agreements and security safeguards; **there is no database of registered trade secrets**



Intellectual Property Resources and Services

- Protect your inventions, brands, and creations early to preserve your business advantages
- U.S. Patent and Trademark Office: www.uspto.gov
 - Issues U.S. patents and registers federal trademarks
 - Landing page for entrepreneurs and inventors: www.uspto.gov/inventors
 - Landing page for military-connected customers:
<https://www.uspto.gov/initiatives/entrepreneurship-resources-military-community>
- U.S. Copyright Office: www.copyright.gov
 - Registers creative works
 - Copyright basics video series: www.copyright.gov/learning-engine

**Contact the USPTO at: militaryoutreach@uspto.gov
for further assistance and guidance**

**PATENT PROTECTION CAN BE EXPENSIVE.
EDUCATE YOURSELF BEFORE MOVING FORWARD!**

Key Takeaways

- As part of founding your firm, seek the advice of a qualified lawyer
- Assemble a good BAIL team
- Keep your personal and business finances separate
- Laws and regulations differ across states, and sometimes, within states
- The consequences of not knowing could have serious legal and financial ramifications

Questions & Discussion